

Basic Financial Literacy for Teens

Rohan Vannadil



Money Basics for Teens

- Learn how to manage money smartly
- Take control of your money early
- Turn small savings into big goals

Cash

- Physical money you can spend

Example: \$20 bill to buy snacks

Debt

- Money you owe to someone

Example: \$500 student loan

Imagine you only have \$10 in cash, but a new game costs \$30. You borrow \$20 from a friend. What do you now have in cash, and what is your debt?

Debit Card

- Uses money directly from your bank account (checking account)

Example: Buying shoes using your account balance

If you only have \$50 in your checking account and you try to spend \$60, what do you think happens?

Credit Card

- Borrow money from the bank, pay later

Example: Buying a phone today, paying next month

If you buy something with a credit card but don't pay it all back next month, what do you think happens?

Bank Account



- A safe place to store money

Example: Checking or savings account

Checking Account

- Is used for daily spending

Example: Paying for lunch at school

Savings Account 🐷

- Is for keeping money safe and earning interest

Example: \$50 grows slowly over time

Imagine you get \$100 birthday money. Would you put it in your checking account to spend on snacks, or in your savings account to save for a new video game?

Investment Account



- Grows money by investing

Example: Buying shares of a company

If you buy \$50 of a company's stock today, how could your money grow over time?

Asset

- Something valuable you own
- Puts money in your pocket

Example: Bike, laptop, or savings

Liability

- Money you owe
- Takes money out of your pocket

Example: Credit card debt or car loan

Which would you rather have more of: assets or liabilities? Why?

Gross Income

- Total money earned before taxes

Example: \$100 from a part-time job

Net Income

- Money left after taxes

Example: \$80 after \$20 tax

If you earn \$100 from babysitting but \$20 is taken for taxes, how much do you actually get to spend?

Credit Score

- Shows how responsible you are with money

Example: 750 is a strong score

If you always pay your credit card bills on time, will that affect your credit score?

Loan

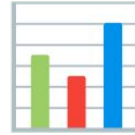


- Borrowed money you must repay

Example: \$200 for a laptop

Why does a bank give you a loan?

Interest



- Extra money paid or earned

Example: \$5 on a \$100 loan

Is interest good or bad, and who gets the interest?

Mortgage

- Loan used to buy a house

Example: Monthly house payment

Principal Amount

- Original borrowed amount

Example: \$200 before interest

If your family takes a \$200,000 mortgage to buy a house, what is the principal amount, and what do you pay on top of that?

Thank you all for participating.

I look forward to seeing you all in the next meeting.



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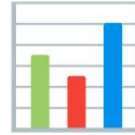
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